Vendor Shipping Cost Comparison Analysis

Goal:
Compare current vendor shipping rates against two alternate vendor options to identify cost savings, cost increases, and the best vendor choice by destination category.

								Price Comparison (Gain)		% Decrease		
Category	**Destination**	**Upto 500 gms**	**Additional 500 gms**	**Category**	**Destination**	**Upto 500 gms**	**Additional 500 gms**	**Up to 500 gms**	**Additional 500 gms**	**Up to 500 gms**	**Additional 500 gms**	**Average Cost Saving**
	Within City	$2.50	$0.75		**Within City**	$2.20	$0.65	$0.30	$0.10	12.00%	13.33%	
	Within State	$3.50	$1.00		**Within State**	$3.35	$0.77	$0.15	$0.23	4.29%	23.00%	
	Within Zone	$4.50	$1.25		**Within Zone**	$4.25	$0.90	$0.25	$0.35	5.56%	28.00%	
	Metroes	$5.50	$1.50	**Option 1 (Small Shipments)**	**Metroes**	$5.10	$1.20	$0.40	$0.30	7.27%	20.00%	12.89%
Current Vendor (Small Shipments)	**Rest of India**	$6.50	$1.75		**Rest of India**	$6.00	$1.50	$0.50	$0.25	7.69%	14.29%	
	Special Destination	$8.00	$2.25		**Special Destination**	$7.35	$2.00	$0.65	$0.25	8.13%	11.11%	

								Price Comparison (Loss)		% Increase		
Category	**Destination**	**Upto 500 gms**	**Additional 500 gms**	**Category**	**Destination**	**Upto 500 gms**	**Additional 500 gms**	**Up to 500 gms**	**Additional 500 gms**	**Up to 500 gms**	**Additional 500 gms**	**Average Cost Increase**
	Within City	$2.50	$0.75		**Within City**	$3.30	$1.00	$0.80	$0.25	32.00%	33.33%	
	Within State	$3.50	$1.00		**Within State**	$4.50	$1.20	$1.00	$0.20	28.57%	20.00%	
	Within Zone	$4.50	$1.25		**Within Zone**	$5.20	$1.50	$0.70	$0.25	15.56%	20.00%	
	Metroes	$5.50	$1.50	**Option 2 (Small Shipments)**	**Metroes**	$5.90	$1.80	$0.40	$0.30	7.27%	20.00%	22.55%
Current Vendor (Small Shipments)	**Rest of India**	$6.50	$1.75		**Rest of India**	$7.00	$2.50	$0.50	$0.75	7.69%	42.86%	
	Special Destination	$8.00	$2.25		**Special Destination**	$8.80	$3.00	$0.80	$0.75	10.00%	33.33%	

								Price Comparison (Loss)		% Increase		
Category	**Destination**	**Upto 500 gms**	**Additional 500 gms**	**Category**	**Destination**	**Upto 500 gms**	**Additional 500 gms**	**Up to 500 gms**	**Additional 500 gms**	**Up to 500 gms**	**Additional 500 gms**	**Average Cost Loss**
	Within City	$2.20	$0.65		**Within City**	$3.30	$1.00	$1.10	$0.35	50.00%	53.85%	
	Within State	$3.35	$0.77		**Within State**	$4.50	$1.20	$1.15	$0.43	34.33%	55.84%	
	Within Zone	$4.25	$0.90		**Within Zone**	$5.20	$1.50	$0.95	$0.60	22.35%	66.67%	
	Metroes	$5.10	$1.20	**Option 2 (Small Shipments)**	**Metroes**	$5.90	$1.80	$0.80	$0.60	15.69%	50.00%	41.82%
	Rest of India	$6.00	$1.50		**Rest of India**	$7.00	$2.50	$1.00	$1.00	16.67%	66.67%	
Option 1 (Small Shipments)	**Special Destination**	$7.35	$2.00		**Special Destination**	$8.80	$3.00	$1.45	$1.00	19.73%	50.00%	

Final Decision Table		
Comparison	**Result**	**Decision**
Current Vendor vs Option 1	12.89% average cost saving	Option 1 is bettter
Current Vendor vs Option 2	22.55% average cost increase	Current vendor is better
Option 1 vs Option 2	41.82% average cost saving	Option 1 is better

Recommended Vendor: Option 1
Reason: Option 1 provides the lowest average shipping cost and creates an average cost saving of 12.89% compared to the current vendor. This recommendation is based only on shipping cost. A final vendor decision should also consider delivery time, reliability, service quality, and contract terms.